section of the society are the microfinance Institutions.

Microfinance institutions not only give financial help to the poor section of the society but also educate them on how to utilise the offered fund in a better way.

Salient features of Microfinance Institutions (MFI)

- These institutions offer loans to individuals who belong to the low income group.
- The loans that are offered by these institutions are of small amount and are known as microloans
- MFI provide loans to the borrowers for a short period. Once they repay the loan they again opt for another one.
- MFI give loans to people who want to start up a business of their own without any security or collateral.
- The repayment frequency of the microloans offered by MFIs is high and the borrower needs to repay the amount at quick intervals.

What are the types of MFIs in India?

MFIs operate in a number of forms and shapes in India. Though each of them have different formation and work nature, they all provide financial help to the needy section of the society in the form of loans and other financial products. Here are the details of the various types of MFIs in India.

(i) Joint Liability Group (JLG)

(ii) Rural cooperatives

(iii) Self Help Group (SHG)

(i) Joint Liability Group (JLG): Joint Liability Group is a concept established in India in 2014 by the Rural Development Agency, The National Bank for Agriculture and Rural Development (NABARD) to provide institutional credit to small farmers.

Features of JLG

- It is a group of 4-10 people of same village / locality of homogenous nature and of same socio-economic background.
- Only one member of a family can become a member of JLGs
- Member should not be a defaulter of bank loan
- Member should hold regular meetings.

Purpose of JLG

- Providing collateral free loans to groups
- Building confidence between groups and banks
- Providing self-employment and increase production of agricultural products.

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